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US Economic Update: October 5, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	1-Oct-26	30-Sep-26	25-Sep-26	24-Sep-26	18-Sep-26	17-Sep-26
	3.7	3.7	5.0	4.9	5.0	5.1

Job growth slowed in September

- Total nonfarm payrolls rose by just 29,000 in September after an increase of 133,000 in August, according to the Bureau of Labor Statistics' (BLS') survey of establishments. Due to downward revisions to the data, job growth was 60,000 lower in July and August than previously reported. In September, payrolls rose the most in health care (17,000), construction (11,000), and leisure and hospitality (10,000). Payrolls, however, fell in government, information, professional and business services, and finance.

  A separate BLS survey (of households) shows that the unemployment rate rose to 4.2% in September from 4.1% in August, primarily due to higher labor force participation. The participation rate rose to a four-month high of 61.8% in September.
- Average hourly earnings in the private sector grew 0.1% in September, down from a 0.3% increase in the previous month. Compared to a year ago, earnings rose 3% in September, the slowest annual increase since May 2021. Slowing wage growth amid elevated inflation will dent households' purchasing power and may weigh on consumer spending in the months ahead.
- The job opening rate in the private sector was 4.5% in August, slightly down from 4.6% in July. The rate was the highest in health care and social assistance (5.4%), followed by professional and business services (5%). The hiring rate in the private sector remained steady at 3.6% in August, while the layoff rate was unchanged at 1.2%.
- Inflation, as measured by the personal consumption expenditure (PCE) price index, was 3.4% in August, unchanged from the previous month. Core inflation (at 3%) was also unchanged during this period. Durable goods inflation has been edging up; it rose to 2.6% in August from 2.5% in July. Tariffs and the AI buildout are adding to goods inflation even as rising energy prices push production costs up. Inflation for energy goods and services rose to 16.9% in August with disruptions to global energy supply chains impacting prices of refined products more than crude oil.
- Real disposable personal income was flat in August, following a 0.3% increase in July. Real consumer spending, however, rose 0.6% in August. That means consumers dipped into their savings to spend more. Hence, the personal saving rate fell to 4.1% in August from 4.6% in the previous month.

Figure 1. Job growth slowed in September with nonfarm payrolls rising by just 29,000, lower than the average monthly gain of 68,000 this year

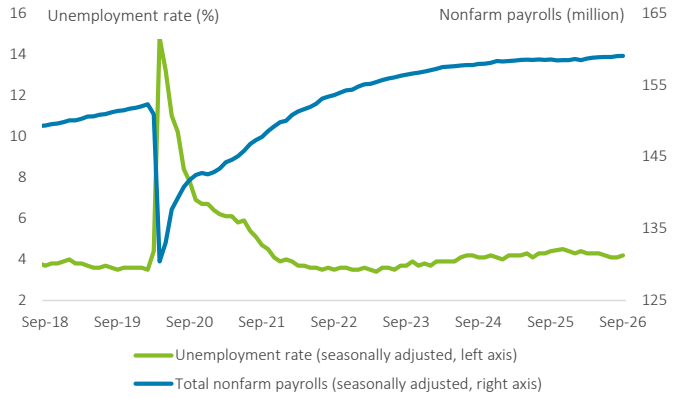
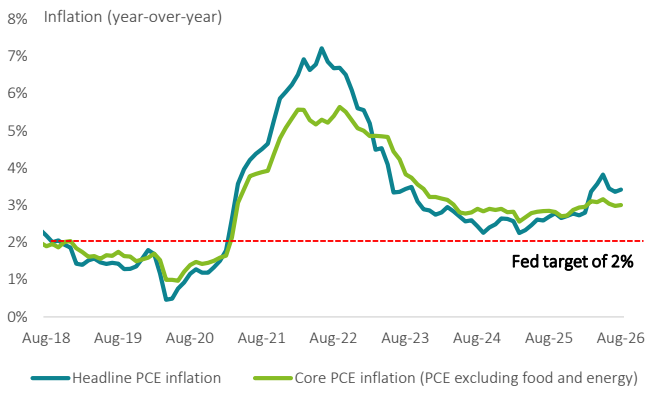


Figure 2. Inflation remains elevated with both headline and core PCE inflation much above the Federal Reserve's 2% target



Sources: Haver Analytics; Deloitte analysis.

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Dashboard of key indicators

Real economy

Total nonfarm payrolls

Sep change	3-month avg ch	12-month avg ch	Trend
29,000	50,000	41,000	

Unemployment rate

Sep value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.2	0.1	0.0	

Real disposable personal income

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.6	1.3	

Real personal consumer expenditure

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.6	1.0	2.6	

Nominal retail sales

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.1	0.9	5.4	

Conference Board consumer confidence index

Sep value	1-month ch	3-month ch	Trend
81.9	-6.7	-10.3	

Housing permits

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-2.1	-0.5	4.2	

Manufacturing industrial production

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.2	0.1	0.9	

Shipments of core capital goods

Aug growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.5	4.4	11.3	

Trade balance

Jul value (US$ billion)	1-month ch	3-month ch	Trend
-88.6	-17.4	-35.7	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
2.2	2.5	2.2	

Corporate profits

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
40.5	6.1	20.8	

Financial markets

Equity markets

S&P 500 on Oct 2	1-week ch (%)	1-year ch (%)	Trend
7722.7	-0.3	15.0	

Treasury yield spread (10 yr - 2 yr)

Spread on Oct 2	1-month ch(ppts)	3-month ch(ppts)	Trend
0.45	0.05	0.1	

CBOE volatility index (VIX)

VIX on Oct 2	1-week ch	4-week ch	Trend
15.3	0.4	1.0	

Kansas City Fed financial stress index (KCFSI)

Aug index	1-month ch	3-month ch	Trend
-1.0	-0.1	-0.1	

Inflation

Consumer price index (CPI)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.0	3.4	

Core CPI (CPI excluding food and energy)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.3	0.5	2.4	

Core PCE (PCE price index excluding food and energy)

Aug change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.5	3.0	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.